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WORKING CAPITAL MANAGEMENT IN SMALL BUSINESS

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ABSTRACT:

Effectiveness stability and sustainability of small firms mostly depend on working capital management. It is very important part of financial management. Working capital management means handling cash other instant assets inventory record receivable and also current liabilities like payables and daily operational expenses. Small enterprises usually have very limited money resources and face cash flow problems again and again so good daily fund management is must for their existence and growth.

This work try to analyse importance of managing working capital in small businesses and find out major challenges they face. Findings show that problems like delayed payments from customers poor access to credit bad inventory control and no proper budgeting badly affect business operations. These challenges often create liquidity problems and making tuff for firms to pay their daily financial obligations.

Work also points that large amount of small businesses depend on mix of personal savings bank loans and trade credit to handle their daily fund needs. Although most companies keep simple accounting records and check cash flow regularly but still deficit good strategic planning and dont use advanced financial tools efficiently. Moreover research emphasize that using proven methods like cash budgeting inventory management and good handling of receivables and payables can help improve financial performance of small businesses.

Keywords: Working Capital Management, Small Businesses, Cash Flow Management, Liquidity, Inventory Management, Financial Performance

I. INTRODUCTION

Small firms are central part of every economy. They help in innovation create jobs and contribute in regional development. According to World Bank SMEs make almost 90% of all businesses in world and give more than 50% of total employment. In growing nations similar to India these small firms play very big role. Millions of micro small and medium enterprises (MSMEs) help economic growth create employment reduce poverty and support entrepreneurship. They also help in diversifying economy (Beck et al.).

But despite their importance MSME face many financial and operational problems which badly affect their survival and growth. One major challenge is efficient working capital management. It means good handling of cash inventory accounts receivable and accounts payable to keep enough liquidity for daily operations. Good working capital management bring financial stability reduce financial distress and improve overall business performance (Brigham & Ehrhardt).

Maintaining working capital at right level is very essential because both shortage and excess can be harmful. Less working capital leads to inefficient use of resources while too much working capital create liquidity risks and even cause insolvency. So keeping optimal level help balance profitability and liquidity (Deloof, 2003). For small firms achieving this balance is particularly difficult.

Main reason is limited financial resources and lack of access to external finance. According to OECD many small businesses unable to get bank loans or credit because of long procedures. They mostly depend on personal savings family money or informal sources which increase their financial risks and uncertainty (OECD).

Secondly small businesses often face unstable cash flows. Many small firms have delays in receiving payments from customers which create serious liquidity problems. Sometimes even if company profitable they struggle to pay creditors salaries and other obligations due to delayed inflows. Report by QuickBooks says many micro business proprietor regularly face cash flow issues and even one delayed payment can disturb entire operations. So proper cash management and handling of receivables and payables become very crucial (QuickBooks).

II. LITERATURE REVIEW

Handling of daily fund is very very crucial for survival and growth of any business. Daily capital management means handling short time assets and small-time liabilities in company. Efficient daily capital

handling is important because it help maintain profitability and liquidity in firm (Brigham & Ehrhardt, 2017). Good daily capital management also keep operations running without any financial distress by ensuring enough cash flow to pay all obligations (Gitman).

There is lots of evidence that small firms find it much more difficult to manage working fund than big companies. Central cause behind this is limited money resources poor access to credit and lack of financial knowledge. SMEs are very important for creating jobs but generally face some financial problems which stop their growth (World Bank). Like big businesses many small firms also struggle to achieve credit from banks since they dont have enough collateral or good credit history (OECD).

Managing cash flow is one of most critical issue in work on working fund management. Poor cash flow management is main reason for failure of many small businesses. Problem usually start with late transfer from consumers which create serious cash shortage in organization. Even if company making profit cash flow problems make it very hard for them to survive. Unpredictable cash flows and no proper budgeting make situation even bad for mini businesses to meet their daily obligations (ILO). It is viewed that good working capital management improve profitability by reducing cash conversion cycle (Deloof). So keeping right level of inventory is necessary for smooth operations and better profits (Van Horne). Studies also show effective inventory management lead to good financial results and better use of resources (Lazaridis & Tryonidis).

Importance of receivable management in working capital cannot be ignored at all. Small businesses often give credit to customers to increase sales but this create big financial problems. If receivables not collected on time it become difficult to pay suppliers salaries and other expenses. Delayed receivables one of biggest cause of liquidity problems in small enterprises (RBI, 2019). Moreover poor receivable management reduce profit margins and increase financial risks.

Payable management also important part. Many small firms delay payments to suppliers to solve immediate cash flow crisis. But this strategy damage relationship with creditors and reduce chance of getting credit in future. It is necessary to maintain proper balance between receivables and payables to keep finances stable and run operations smoothly (Filbeck & Krueger).

Financial planning and use of technology also play central role for improving working capital management. Proper planning forecasting and accounting software help companies monitor finances better. But many small organizations lack financial knowledge and modern technology limiting their power to manage working capital properly (PwC, 2021).

RESEARCH GAP

Despite lot of interest about working capital management in books and papers still there are many learning gaps which need more study specially for small enterprises. Most papers in literature talk about importance of balance between profitability and liquidity but their guidelines are too general and small firms cannot use them easily in uncertain conditions (Brigham & Ehrhardt, 2017; Gitman, 2009).

In actual practice financial decisions in small firms driven more by day to day problems than theoretical knowledge. Because of this big gap exist between what academic suggest and what really happen in small businesses. This problem clearly seen in reports which show small firms struggle due to limited money and poor finance system which not mentioned in theory (World Bank, OECD).

Also most literature only discuss problems like cash flow issues delayed payments and difficulty in getting loans but they dont give any practical solutions how to solve these problems. So while theory recognise working capital issues they dont help small firm proprietor to fix their daily troubles (QuickBooks, ILO).

Another big gap is role of technology in working capital management. Even though many payment apps and accounting software available large number of small businesses still use only old traditional methods. Reasons why they not adopt new technology still not studied properly (PwC).

Moreover there is scarcity of study about behaviour of small firm proprietor who decide how to use working capital. Small owners have their self view different risk taking capacity and different financial knowledge which affect working capital management in good or bad way (Filbeck & Krueger).

In addition most studies look at different components of daily capital separately. But in real life all components connected with each other. So future studies should see working capital management as one whole thing not separate parts (Rahaman & Nasr).

Lastly most studies focus only on profitability but things like business survival stability and long term sustainability not studied in detail. For small enterprises survival more important than profit specially in starting phase. Therefore need more practical and specific studies to fill these gaps and help small businesses understand working capital management in better way.

III. RESEARCH DESIGN

The choice of theoretical research methodology for this work based on fact that it want to uncover and describe real existing practices and experiences of small businesses about working capital management. Because there are so many things to consider in fast changing environment where daily decisions on cash

flow inventory and borrowing totally depend on market situation and customer behaviour this method help us analyse actual money problems small companies face in real life.

In terms of analytical approach it will focus on investigating relationship between different parts of working fund handling and overall company performance. As mentioned in several reports about 61% small firm proprietors often face cash flow gaps (QuickBooks Survey) while 50% suffer from working capital limitations (OECD). These numbers clearly show importance of analysing reasons behind such problems and how they affect small companies.

All this together affect liquidity efficiency and financial stability of mini business which are main things being studied. Cash is very very essential for small business because it used to pay salaries rent electricity bills and raw material costs.

Studies show cash only form about 20-25% of total working capital which explain why liquidity problems happen so often. Poor cash planning no cash budgets and irregular money coming in make it very difficult for owners to complete short term commitment. Research model assume that weak cash management directly lead to operational problems and delayed payments.

Inventory management another very important part in research model. Secondary data suggest inventory take largest share of working capital around 35-45% in small businesses. Too much inventory cause higher holding cost and money get tied up while too little inventory cause loss of sales and unhappy customers. Research model think that bad inventory management increase need for more working capital.

Receivable management go along with sales and relationship with clients. Many small enterprises give credit to customers to increase sales but this create big financial trouble. According to data 32% sales received after 30 days and 27% not collected even after 60 days which badly affect cash flow and force owners to use personal money or borrow quickly. Late receivables assumed to negatively hit cash flow of small businesses.

Finally payables also included in research because linked with supplier relationships and alternative financing. Many entrepreneurs say delaying payment to suppliers is best quick solution during cash shortage. But while it give immediate relief it damage relationship with creditors and reduce chance of future credit. Around 15-20% of working capital needs come from trade credit.

Study use secondary data collection method because most small enterprises have very poor bookkeeping. Secondary data taken from reliable sources like World Bank OECD RBI MSME reports QuickBooks surveys and journal articles. These sources give accurate info on cash flow problems working capital structure and small business financing.

Research use cross sectional methodology because data analysed from several studies done in same time period. This approach help get clear picture of current issues in working capital management like delayed customer payments lack of bank finance and rising operational costs.

Simplest analysis techniques used for data. These include percentage analysis trend analysis and making charts and graphs because they easy to understand clear and suitable for small business research. For example percentage analysis show 45-50% working capital come from owners own money while bank loans only 25-30%.

IV. DATA ANALYSIS & FINDINGS

Business Profile Analysis

Type of Business:

Business organizations fall into three main categories, namely Industry (manufacturing), Commerce (trade), and Services. Ownership-wise, there are sole proprietorships, partnerships, companies, and cooperative societies. Generally speaking, trade or buying and selling is the supressing form of commercial activity within Business Distribution, as visible in Table 1.

Table 1: Business Distribution

Type of Business	Responses	Percentage
Trading	58	54.2%
Manufacturing	24	22.4%
Service	18	16.8%
Others	7	6.5%
Total	107	100%

Type of business :
107 responses

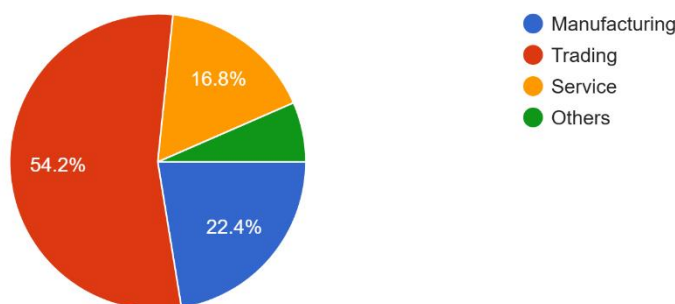


Fig 1: Showing business type

The Figure 1 shows that trading businesses account for 54.21%, making them the largest category among respondents. Manufacturing businesses contribute 22.43%, indicating a moderate presence, while service businesses make up 16.82% of the total. Additionally, other types of businesses represent 6.54%. This indicates that trading activities dominate the sample, while service businesses have a smaller but still significant role. Overall, the data suggests that most respondents are engaged in buying and selling activities rather than providing services or manufacturing goods.

Years in Operation:

Years in operation is the time period a business has been running since its start. The Table 2 represents the years in operation and its related responses.

Table 2: Operation Distribution

Years in Operation	Responses	Percentage
1-3 Years	58	54.2%
Less than 1 year	36	33.6%
4-7 Years	9	8.4%
More than 7 years	4	3.7%
Total	107	100%

Years in operation :
107 responses

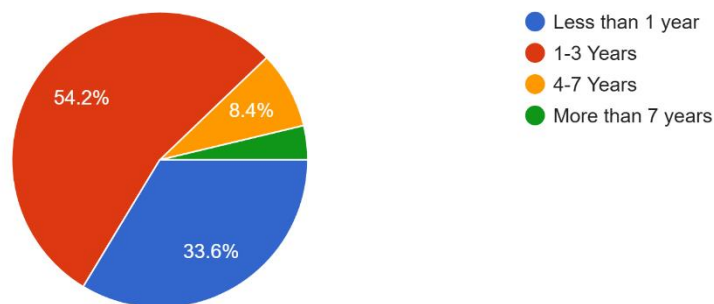


Fig 2: Showing years in operation

The Figure 2 shows that the majority of businesses (54.2%) have been operating for 1–3 years, indicating that most firms are relatively new in the market. A substantial amount of (33.6%) has existed in operation for less than 1 year, which further highlights the existence of newly established businesses. Only mini % of businesses come in the 4–7 years category (8.4%), while very few (3.7%) have been operating for more than 7 years. Overall, the data suggests that most businesses are in their early stages, making effective daily capital handling is central for their survival and growth.

Number of Employees:

The sum of the people working in a business plays a crucial part as it decides the operations and its effectiveness. Table 3 shows the quantum of employees the small business usually has.

Table 3: Quantum of Employees

Number of Employee	Responses	Percentage
1–5 Employees	50	49.5%
6–10 Employees	34	38.3%
11–20 Employees	16	11.2%
More than 20	6	0.9%
Total	107	100%

Number of employees :
107 responses

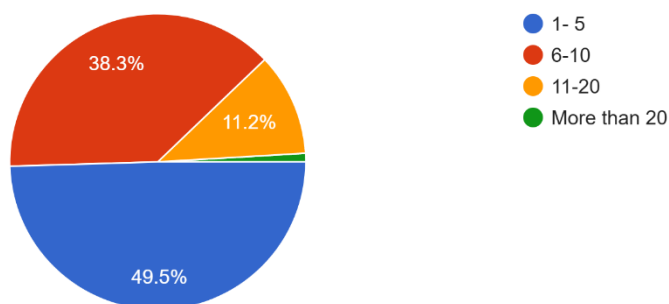


Fig3: Showing Number of employees

The Figure 3 Shows that majority of businesses employ 1–5 employees, showing that the majority of businesses are small-scale enterprises. Fewer businesses have larger workforces, which highlights the limited scale of operations in small businesses.

Average Monthly Turnover:

The average monthly turnover of a firm plays a vital role as it reflects the monetary work and earning capacity of the firm. Table 4 shows the average monthly turnover levels of small businesses.

Table 4: Average Monthly Turnover

Turnover level	Responses	Percentage
Less than 50000	37	34.6%
50000-200000	30	28%
200000-500000	28	26.2%
Above 500000	12	11.2%
Total	107	100%

Average monthly turnover :
107 responses

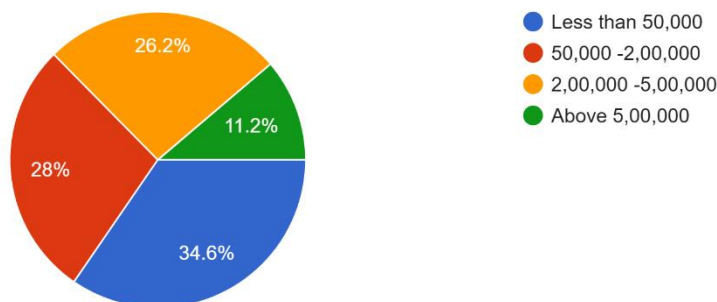


Fig. 4 Showing Average Monthly Turnover

The Figure 4 torched that the largest group of respondents (34.6%) has a monthly turnover of below than ₹50,000, indicating that many businesses run at a little scale. A significant number of businesses fall in the ₹50,000–₹2,00,000 and ₹2,00,000–₹5,00,000 ranges, showing moderate income levels. Only a little portion (11.2%) earns above ₹5,00,000, which implies that fewer businesses achieve high turnover. Overall, the information points that the major of small businesses have limited revenue and operate on a low to medium scale.

Cash Budget:

The preparation of a cash budget plays a vital role as it helps in planning and controlling cash flow in a business. Table 5 shows whether small businesses prepare a cash budget, indicating that most businesses actively maintain cash budgeting practices.

Table 5: Cash Budget Preparation

Yes/ No	Responses	Percentage
Yes	87	81.3%
No	20	18.7%
Total	107	100%

Do you prepare a cash budget :
107 responses

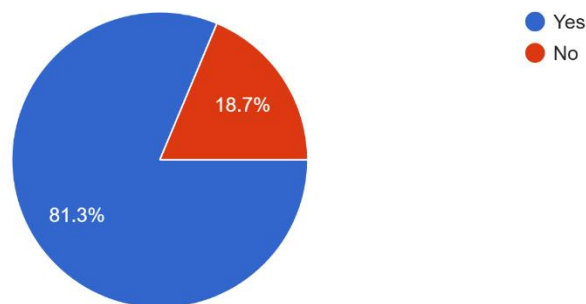


Fig.5 Showing Cash Budget Preparation

The Figure 5 demonstrates that a large most of those who responded (81.3%) prepare a cash budget, this shows that a large portion of firms are aware of the central of planning their monetary inflows and outflows. Only a small proportion (18.7%) do not prepare a cash budget, showing limited financial planning among some businesses. Overall, the results suggest practices for managing cash are generally good, but a few businesses still need improvement to avoid cash-related problems.

Review of Cash Balances:

The review of cash balances plays a vital role as it helps in controlling money flow as well as ensuring smooth financial operations in an enterprise. Table 6 shows the volume of reviewing cash residue in modest businesses.

Table 6: Frequency of reviewing cash balances

Frequency	Responses	Percentage
Daily	44	41.1%
Weekly	43	40.2%
Monthly	13	12.1%
Occasionally	7	6.5%
Total	107	100%

How often do you review cash balances ?

107 responses

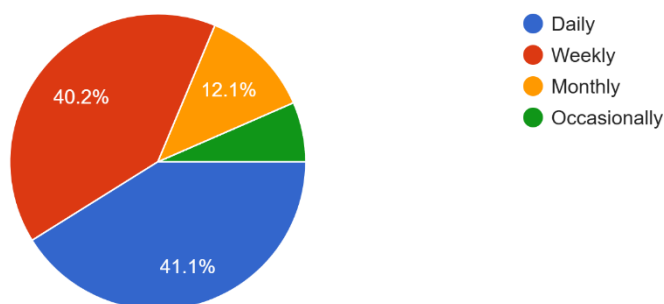


Fig.6 Showing review cash Balances

The Figure 6 Shows that most respondents review their cash balances either daily (41.1%) or weekly (40.2%), which demonstrates that most firms regularly monitor their cash position. A lower percentage reviews cash monthly (12.1%), while very few (6.5%) do so only occasionally. This suggests that the majority of firms follow good cash management practices, although a small number still lack regular monitoring, which could impact their finances stability.

Source of Working Capital:

The source of working capital plays a vital role as it helps in financing daily operations and maintaining business continuity. Table 7 shows the different sources of working capital used by small businesses, indicating that most businesses depend on bank loans and personal funds.

Table 7: Source of Working Capital

Source	Response	Percentage
Personal Funds	37	34.6%
Bank Loan	39	36.4%
Trade Credit	19	17.8%
Family Friends	8	7.5%
Others	4	3.7%
Total	107	100%

Main source of working capital :
107 responses

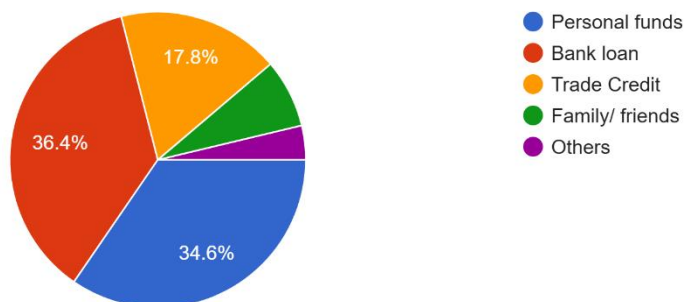


Fig.7 Showing Sources of Daily Capital

Figure 7 showed that the bank loans (36.4%) are the common source of daily capital among respondents, closely followed by personal funds (34.6%). This shows that businesses depend both on external financing and their own savings. Trade credit accounts for 17.8%, indicating that supplier credit also plays a central role in managing short-term financial needs. A lower proportion of responders rely on family and friends (7.5%), while very few use other sources (3.7%). Overall, the information indicates that small businesses use a combination of external and internal sources, with a little stronger inclination for bank financing.

Cash Shortage:

The occurrence of cash shortage affects the operational efficiency of a business. Table 8 shows how frequently small businesses face cash shortages, indicating that most businesses experience cash shortages occasionally or sometimes.

Table 8: Frequency of facing Cash Shortage

Frequency	Responses	Percentage
Frequently	25	23.4%
Sometimes	70	65.4%
Rarely	10	9.3%
Never	2	1.9%
Total	107	100%

How often do you face cash shortages ?
107 responses

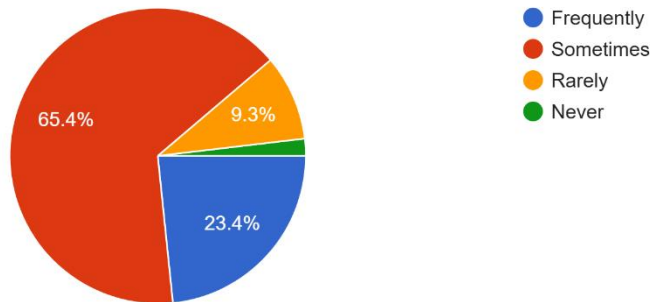


Fig.8: Showing how often face Cash Shortage

The Figure 8 demonstrates that the large section of responders (65.4%) sometimes face cash shortages, indicating that flow of cash difficulty is fairly common among small businesses. A significant portion (23.4%) frequently experiences cash shortages, which highlights serious financial management challenges. Only a small percentage of respondents rarely (9.3%) or never (1.9%) face such issues. Overall, the findings suggest that cash shortage is a common problem, and many businesses need to enhance their daily capital and money management practices.

Inventory Records:

The inventory maintenance is a central task within the small enterprise as it helps in comprehending the inventory requirement. Furthermore, it also assists the handlers to procure inventory on time. The Table 9 shows the maintenance of inventory records in small business.

Table 9: Maintenance of inventory records

Yes/No	Responses	Percentage
Yes	93	86.9%
No	14	13.1%
Total	107	100%

Do you maintain inventory records ?

107 responses

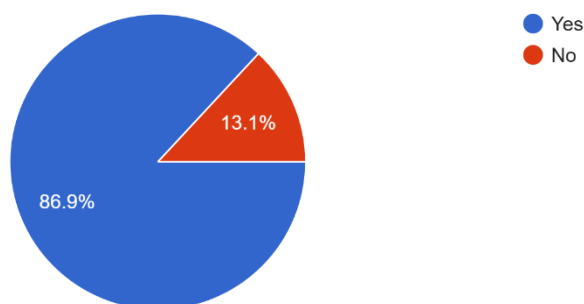


Fig.9 Showing Maintain inventory Records

The Figure 9 Shows that a large most of those who responded (86.9%) maintain inventory records, this shows that the majority of firms follow appropriate inventory control procedures. Only a small proportion (13.1%) do not maintain such records, suggesting a lack of formal tracking systems in some businesses. Overall, the findings indicate that inventory control is well practiced among most respondents, though a few businesses still need improvement.

Inventory Tracking:

Inventory tracking means regular checking and overviewing of stock in a business. Inventory tracking frequency mainly includes daily, weekly, monthly, and irregular checking. On the basis of frequency, most businesses fall under the weekly category, followed by daily. Overall, businesses that check stock weekly are the most common, as shown in Table 10.

Table 10: Frequency of Stock checking

Frequency	Response	Percentage
Daily	37	34.6%
Weekly	50	46.7%
Monthly	16	15%
Irregularly	4	3.7%
Total	107	100%

How often is stock checked ?
107 responses

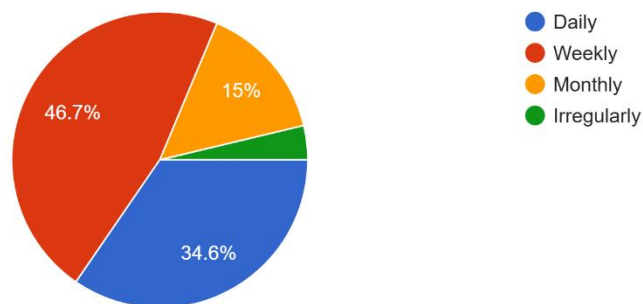


Fig. 10 Showing how often Stock Checked

The Figure 10 Shows that most respondents check their stock on a weekly basis (46.7%), followed by daily checking (34.6%), which indicates that the majority of firms regularly monitor their inventory. A lower percentage checks stock monthly (15%), while very few (3.7%) do so irregularly. This suggests that the majority of firms maintain good inventory control practices, although a small number still lack regular monitoring, which may lead to inefficiencies.

Main inventory issue faced:

Inventory issues mainly include overstocking, stockouts, damage/obsolescence, high storage cost, and none. On the basis of occurrence, businesses mostly face stockouts, followed by overstocking and damage/obsolescence. Overall, stockouts are the most typical inventory issue in the distribution, as displayed in Table 11.

Table 11: Main Inventory Problems

Issue Faced	Responses	Percentage
Overstocking	26	24.3%
Stockouts	38	35.5%
Damage/ obsolescence	26	24.3%
High storage cost	11	10.3%
None	6	5.6%
Total	107	100%

Main inventory issue faced :
107 responses

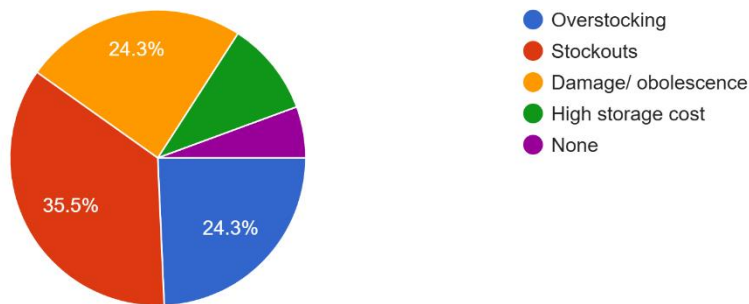


Fig.11 Showing inventory issue faced

The Figure 11 Shows that stockouts are the most frequent inventory problem that respondents (35.5%), pointing that so many firms have trouble with insufficient stock availability. Overstocking and damage/obsolescence are equally important concerns, each accounting for 24.3%, which suggests problems in inventory planning and storage. High storage cost is faced by a smaller proportion (10.3%), while very few respondents (5.6%) reported no issues. Overall, the output points that inventory handling challenges are common, especially related to maintaining the right stock levels.

Credit Sales:

Credit sales mean selling goods now and receiving payment later. Credit sales mainly include Yes and No categories, and most businesses fall under the Yes category. Overall, selling on credit is common, as shown in Table 12.

Table 12: Sell on Credit

Yes/No	Responses	Percentage
Yes	93	86.9%
No	14	13.1%
Total	107	100%

Do you sell on credit ?
107 responses

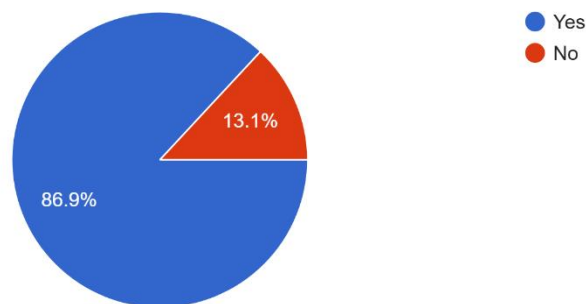


Fig.12 Showing how much Business sell Goods on Credit

The Figure 12 Shows that the most of them respondents (86.9%) sell their goods on credit, this shows that credibility sales are a common practice among small businesses. Only a small percentage (13.1%) do not sell on credit, showing that most businesses rely on credit sales to attract customers and increase sales. But it might also lead to challenges in cash flow and working capital management if payments are delayed.

Average credit period given to customers:

The business operations require credit sales and is also important to set a credit period to do a good working capital in the business. The average credit period given to customers will enable to increase sales of the business as shown in Table 13.

Table 13: Average credit period given to customers

Frequency	Response	Percentage
Less than 15 days	35	32.7%
15-30 days	60	56.1%
31-60 days	12	11.2%
More than 60 days	0	0%
Total	107	100%

Average credit period given to customers :
107 responses

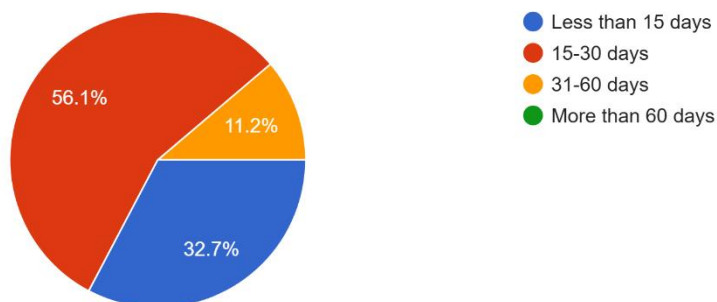


Fig.13 Showing Credit Period given to Customers

The Figure 13 demonstrates that most of respondents (56.1%) provide a credit period of 15–30 days to their customers, indicating that this is the most common and preferred credit duration. A significant portion (32.7%) offers less than 15 days, showing a preference for shorter credit cycles to maintain cash flow. Just a tiny Percentage (11.2%) extends credit for 31–60 days, and not a single respondents provide credit beyond 60 days. In general, this indicates that the majority businesses prefer short to moderate credit periods to balance customer relationships and cash management.

Do Customers Pay on Time:

Customer payment behaviour mainly includes always, often, sometimes, and rarely paying on time. On the basis of responses, most customers fall under the often category, followed by always. Overall, customers often pay on time the most, as shown in Table 14.

Table 14: Customers Payment Time

Payment time	Response	Percentage
Always	35	32.7%
Often	54	50.5%
Sometimes	12	11.2%
Rarely	6	5.6%
Total	107	100%

Do customers pay on time ?

107 responses

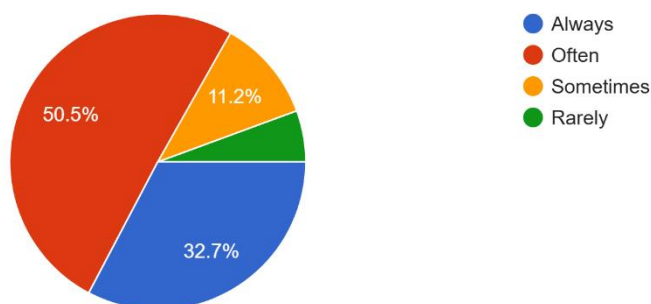


Fig.14 Showing Customers Pay on Time

The Figure 14 Shows that most customers pay on time either often (50.5%) or always (32.7%), indicating that timely payments are common for a majority of businesses. However, a smaller proportion of customers sometimes (11.2%) or rarely (5.6%) make payments on time, which can create cash flow issues. Overall, while payment behaviour is generally reliable, some delays still exist and may affect working capital management.

Collection methods:

Collection methods refer to the ways businesses use to collect payments from customers. Collection methods mainly include phone reminders, written notices, personal visits, and legal action. Most businesses use phone reminders, making it the most typical method, as displayed in Table 15.

Table 15: Collection Methods Used

Collection methods	Responses	Percentage
Phone reminders	57	53.3%
Written notices	18	16.8%
Personal visits	27	25.2%
Legal action	4	3.7%
None	1	0.9%
Total	107	100%

Collection methods used :
107 responses

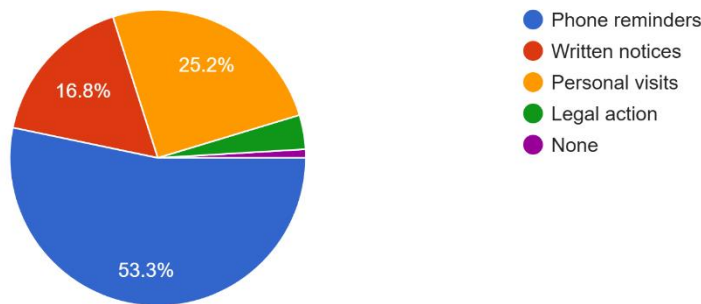


Fig.15 Showing Collection Method

The Figure 15 Shows that the most known mechanism for gathering is phone reminders (53.3%), indicating that businesses prefer quick and direct communication to recover payments. Personal visits (25.2%) are utilised by a significant number of respondents, showing the crucialness of direct interaction in collection. Written notices account for 16.8%, while very few businesses take legal action (3.7%) or do not use any method (0.9%). Overall, the data suggests that informal and direct approaches are favoured over formal or legal approaches for collecting payments.

Suppliers Credit Provision:

Supplier credit refers to when suppliers allow businesses to buy goods now and pay later. Overall, suppliers provide credit to most businesses, as shown in Table 16.

Table 16: Provision of Credit by Suppliers

Yes/No	Responses	Percentage
Yes	92	86%
No	15	14%
Total	107	100%

Do suppliers provide credit :
107 responses

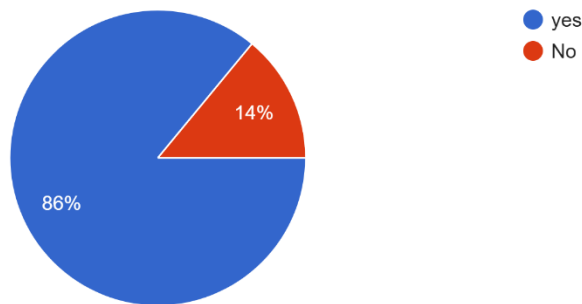


Fig.16 Showing Provision of Credit by Suppliers

The Figure 16 Shows that a large majority of respondents (86%) receive credit from suppliers, which indicates that supplier credit is a common and important source of working capital for small businesses. Only a small percentage (14%) do not receive such credit. This demonstrates that the majority of companies rely on supplier support to manage their short-term financial needs and maintain smooth operations.

Average Credit Period from Suppliers:

The working capital management is having impact on the credit period from suppliers as well. Hence for the operational efficiency the most common credit period from suppliers is required and shown in Table 17.

Table 17: Average Credit Period from Suppliers

Frequency	Response	Percentage
Less than 15 days	38	35.5%
15-30 days	55	51.4%
31-60 days	12	11.25
More than 60 days	2	1.9%
Total	107	100%

Average credit period from suppliers :
107 responses

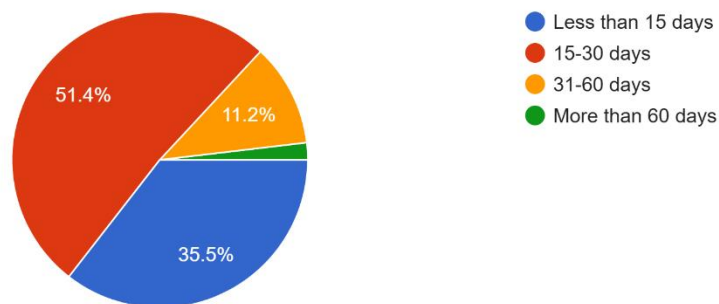


Fig.17 Showing Average Credit Period from Supplier

The Figure 17 demonstrates that most of respondents (51.4%) receive a credit period of 15–30 days from suppliers, making it most available credit duration. A significant portion (35.5%) gets >15 days, indicating shorter credit cycles for many businesses. Only a small percentage receive 31–60 days (11.2%), and very few (1.9%) get more than 60 days. Overall, this shows that suppliers generally provide short to moderate credit periods, which helps working capital is managed by enterprises but requires timely payments.

Timely payment to suppliers:

Supplier payment timing refers to how regularly businesses pay their suppliers within the agreed time period. Overall, businesses often pay suppliers on time the most, as shown in Table 18.

Table 18: Payment timeline to the suppliers

Payment time	Response	Percentage
Always	40	37.4%
Often	53	49.5%
Sometimes	14	13.1%
Rarely	0	0%
Total	107	100%

Do you pay suppliers on time ?

107 responses

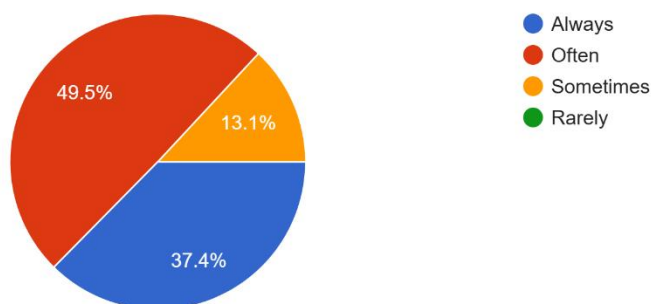


Fig.18 Sowing pay Suppliers on Time

The Figure 18 Shows that the majority of responders pay their suppliers on time either often (49.5%) or always (37.4%), indicating generally good payment practices among businesses. A smaller proportion (13.1%) sometimes delays payments, while none of the respondents reported rarely paying on time. Overall, this shows that businesses maintain relatively timely payments to suppliers, which helps in maintaining good supplier relationships and smooth business operations.

Maintain Formal Accounting Records:

It is not mandatory for a small business to maintain the accounts but in order to track the business activities it is highly essential and this reflects in Table 19.

Table 19: Maintenance of formal accounting records

Yes/No	Responses	Percentage
Yes	93	86.9%
No	14	13.1%
Total	107	100%

Do you maintain formal accounting records ?
107 responses

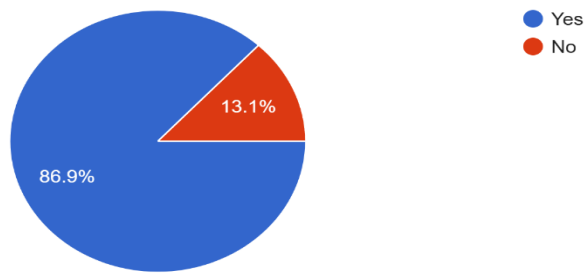


Fig.19

Showing how many Businesses Maintain Accounting Records

The Figure 19 Shows that a big majority of respondents (86.9%) maintain formal accounting records, this suggests that the majority of firms follow proper financial recording practices. Only a little portion (13.1%) do not maintain such records, suggesting a lack of formal accounting systems in some businesses. Overall, the outcomes demonstrate that accounting procedures are well maintained by most respondents, though a few businesses still need improvement.

Working Capital Management:

Working capital management rating refers to how businesses evaluate the efficiency of managing their short-term finances and operations. Ratings mainly include very effective, effective, average, and poor as torched in Table 20.

Table 20: Rating the Daily Capital Management

Ratings	Response	Percentage
Very effective	37	34.6%
Effective	53	49.5%
Average	16	15%
Poor	1	0.9%
Total	107	100%

How would you rate your working capital management ?

107 responses

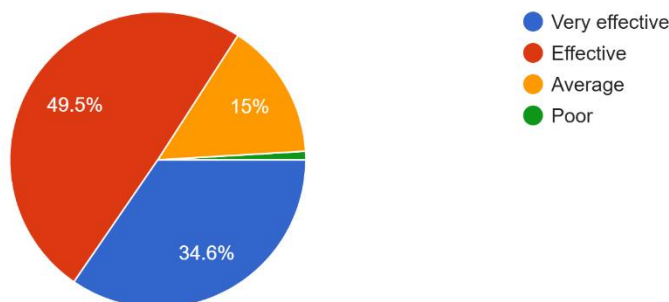


Fig. 20 Showing Rating of Working Capital

The Figure 20 Shows that the huge portion of repliers evaluate their daily capital handeling as effective (49.5%), followed by very effective (34.6%), indicating that a large majority of businesses are confident in their money handling practices. A smaller proportion (15%) considers their management to be average, while only few (0.9%) rate it as poor. Overall, the outcome points that managing working capital is generally well maintained among most businesses, with only minimal dissatisfaction.

Major challenges in working capital management:

Working capital challenges refer to problems businesses face in managing daily funds and operations. Challenges mainly include lack of funds, delayed customer payments, and high costs. Most businesses face lack of funds, making it the biggest issue, as shown in Table 21.

Table 21: Major Challenges in Working Capet Management

Challenges	Responses	Percentage
Lack of funds	38	35.5%
Delayed customers payments	25	23.4%
High inventory costs	15	14%
Limited credit access	22	20.6%
Poor financial planning	3	2.8%
Others	4	3.7%
Total	107	100%

Major challenges in working capital management :
107 responses

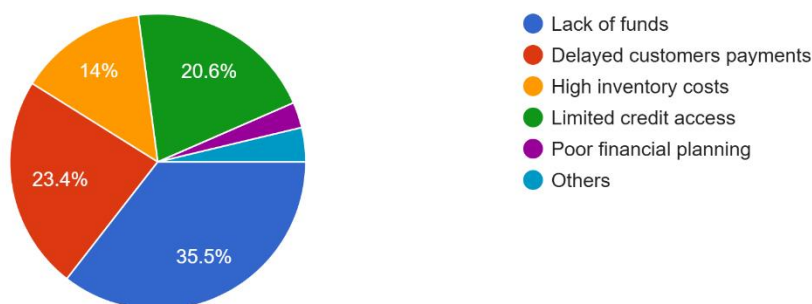


Fig.21 Showing Challenges Management of working capital

The Figure 21 demonstrates that the most common challenge faced by businesses is lack of funds (35.5%), indicating that insufficient capital is a major issue in managing operations. Delayed customer payments (23.4%) and limited access to credit (20.6%) are also significant challenges, showing difficulties in maintaining cash flow. High inventory costs (14%) further add to financial pressure. Just a little portion of respondents reported poor financial planning (2.8%) and other issues (3.7%). Overall, the outcome points that money limitation and cash flow problems are the major challenges in working capital management.

V. Conclusion

Daily capital handling in small businesses clearly show that handling short term money matters is not just normal accounting job but very very critical thing for survival and growth of business. This work torched that most small businesses run with very limited resources and face continuous financial pressure every day. Problems like cash shortage delayed payments from customers bad inventory control and too much dependence on credit are very common and directly disturb their daily operations badly.

Results also torched that many small businesses keep basic records and use simple financial tools but still big lack of proper planning and regular monitoring. Business owners mostly depend on their own experience and gut feeling for taking financial decisions which usually lead to reactive actions instead of good strategic planning. This make it very difficult to keep balance between quick conversion and gain ability.

At same time research show that betterment of daily capital handeling can bring strong positive results. Proper control on cash flow timely collection of receivables efficient inventory handling and generating good support with suppliers can reduce money stress and better overall business performance. Use of tech machines and better financial awareness can make these practices even stronger.

Future Scope

This investigation on daily fund management in mini businesses give strong base but still some opportunities left for more research. Possible way for coming work may include analysing benefits of modern electronic tools like software of accounting mobile payment apps and inventory management applications. Role of money literacy events can also be studied specially since many mini firm owners still fully depend on their intuition instead of proper forecasting and budgeting. Cross industry and cross regional studies may help find differences in daily capital handling between different types of companies and show which practices actually work best. Moreover it is important to examine role of large economic things like government policies banking system and credit support from monetary institutions for helping small firms get capital in developing countries. Psychological things that affect financial decision making and small business owners willingness to do proper financial management should also be considered. New trends related to alternative finance sources including fintech solutions and innovative lending models like supply chain financing may be studied for their potential to solve working capital problems faced by small firms. Finally longitudinal studies that examine transformation in daily capital handling practices over longer time can also be carried out.

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